

Basic Concept of Economics

Description of Economics

Word Economics is derived from the Ancient Greek history.

It is a combination of 2 Greek terms **okos** or house and **nomos** or management.

At smallest scale economics is synonymous to management of household. Household management is looked after by mother. She manages household's monthly expenditure within available resources or monthly income or salary. Purchases goods like food, grocery etc. hire services of maid etc.

Household Management can be enhanced to higher scale, leading to town, city, or national or regional or global level.

Economics is a social science concerned with scarce or limited resource and unlimited demands where costs, affordability, alternates come into play.

It studies how individuals, or households or businesses, governments at town or city or province, or national level make choices about how to allocate resources (resource includes money, material, manpower, machinery)

1. Economics is a study of mankind in the ordinary business in life. This was stated in 19th century by economist Alfred Marshall. He was of the opinion what choices do you face in the ordinary business in your life? Buying clothes deciding or what to eat, or seek a job all have consideration of cost, scarcity and transaction with alternates and options
2. Economics studies activities like: How people make choices to get what they want. It is considered as "the study of scarcity and choice"
3. Economics is basically about the choices people make. It also studies the effects of following elements of economic system like:
 1. Production
 2. Distribution
 3. Consumption
 4. Goods
 5. Services

6. Investment
7. Income
4. Economic study considers economic aspects at various levels like households, business companies, the government or state and entities in foreign countries.

Economic Theories

Economic theories or models started after industrial revolution when activities picked up.

Economic theories start from dawn of the industrial revolution to modern times.

During these three centuries three diverse thinkers or philosophers developed their own Economic theories.

The 3 economists include:

1. Adam Smith
2. Karl Marx
3. John Maynard Keynes

All the 3 economists used economic elements for their theories:

1. Production
2. Distribution
3. Choice
4. Scarcity
5. Alternate uses

6. Micro Economics

7. Microeconomics as a term has been derived from Greek prefix *mikro-* meaning "small" + *economics* is a branch of economics that studies the behavior of individuals and firms in making decisions regarding the allocation of limited or scarce resources and the interactions among these individuals or firms

One goal of microeconomics is to analyze the market mechanisms that establish prices among goods and services and allocate limited resources among alternative uses.

8. Microeconomics shows conditions under which free markets lead to desirable allocations.
9. It also analyzes market failure where markets fail to produce efficient results.
10. The strength of microeconomics comes from the simplicity of its underlying structure and its close touch with the real world. In a nutshell,
11. Microeconomics has to do with supply and demand and with the way they interact in various markets.
12. The field of industrial organization deals with the different mechanisms like monopoly, cartel different types of competitive behavior by which goods and services are sold.

Macro Economics

Macro Economics is considered at a bigger scale.

Macro Economics deals with the whole economy at macro or holistic level

13. Macro Economics can be applied at town or city or province or national level
14. A macroeconomic factor is a pattern, or condition that originates from a large aspect of an economy rather than to a particular population.
15. **Macro-Economics**
16. **Microeconomics is a field of economics that studies broader economic trends, such as inflation, economic growth rates, price levels, , national income, and changes in levels of unemployment.**
17. **Inflation:** Inflation is a progressive increase in the average cost of goods and services in the economy over time.
18. **Economic Growth Rate:** The economic growth rate is the percent change in the cost of the output of goods and services in a country across a specific period of time, relative to a previous period.
19. **Price Level:** A price level is the variation of existing prices for economically produced goods and services. In broader terms, the level of prices refers to the costs of a good, service, or security.
20. **National Income:** National income is the aggregate amount of money generated within a nation.
21. **Unemployment Level:** The level or rate of unemployment is the unemployed share of the labor force in a given country, calculated and stated as a percentage.

22. Scarcity of Resources

23. This concept goes hand in hand with supply and demand. Scarcity is defined as the basic economic problem that arises because people have unlimited wants but resources are limited. Examples of scarce resources include time, money and natural resources; essentially anything that is finite falls under this category.
24. The reason that scarcity of resources is an important concept to understand because it helps us place a value on a good or service. Scarce resource leads to higher demand and higher price or more expensive
25. When allocating scarce resource then allocate resources with care and judiciously for any project develop alternate that are cost-effective, technically feasible and lasting.